SUBSTITUTE FOR

SENATE BILL NO. 868

A bill to make appropriations for the department of lifelong education, advancement, and potential for the fiscal year ending September 30, 2027; and to provide for the expenditure of the appropriations.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

PART 1

LINE-ITEM APPROPRIATIONS

Sec. 101. There is appropriated for the department of lifelong education, advancement, and potential for the fiscal year ending September 30, 2027, from the following funds:

DEPARTMENT OF LIFELONG EDUCATION, ADVANCEMENT, AND POTENTIAL

APPROPRIATION SUMMARY

Full-time equated unclassified positions	6.0		
Full-time equated exempted positions	342.0		
GROSS APPROPRIATION		**$**	**657,672,900**
Interdepartmental grant revenues:			0
Total interdepartmental grants and intradepartmental transfers			0
ADJUSTED GROSS APPROPRIATION		**$**	**657,672,900**
Federal revenues:			
Total federal revenues:			418,323,900
Total private revenues			1,000,000
Total other state restricted revenues			1,897,300
State general fund/general purpose		**$**	**236,451,700**
Sec. 102. DEPARTMENTAL ADMINISTRATION AND SUPPORT			
Full-time equated unclassified positions	6.0		
Full-time equated classified positions	37.0		
Unclassified salaries--FTEs	6.0	$	1,029,500
Executive direction and operations--FTEs	37.0		7,458,100
Property management			165,500
Worker's compensation			3,700
GROSS APPROPRIATION		**$**	**8,656,800**
Appropriated from:			
Federal revenues:			
Federal funds			1,174,400
Total federal revenues			1,174,400
State general fund/general purpose		**$**	**7,482,400**
Sec. 103. INFORMATION TECHNOLOGY			
Information technology services and projects		$	1,021,700

GROSS APPROPRIATION		**$**	**1,021,700**
Appropriated from:			
Federal revenues:			
Federal funds			227,600
Total federal revenues			227,600
State general fund/general purpose		**$**	**794,100**

Sec. 104. OFFICE OF EARLY CHILDHOOD EDUCATION

Full-time equated classified positions	233.0		
Child care licensing and regulation--FTEs	167.0	$	30,457,600
Child development and care contracted services			22,900,000
Child development and care external support			11,074,100
Child development and care public assistance			503,312,000
Head start collaboration office--FTE	1.0		427,700
Office of great start operations--FTEs	65.0		17,984,700
Tri-share child care program			3,400,000
GROSS APPROPRIATION		**$**	**589,556,100**
Appropriated from:			
Federal revenues:			
Federal funds			325,831,100
Social security act, temporary assistance for needy families			89,755,300
Total federal revenues			415,586,400
Special revenue funds:			
Private foundations			1,000,000
Certification fees			64,600
Child care home and center licenses fund			501,700
State general fund/general purpose		**$**	**172,403,400**

Sec. 105. OFFICE OF EDUCATION PARTNERSHIPS

Full-time equated classified positions	21.0		
Before and after school administration--FTEs	2.0	$	372,300
Camp licensing unit--FTEs	7.0		719,500
Family and community engagement--FTEs	12.0		2,410,000
GROSS APPROPRIATION		**$**	**3,501,800**
Appropriated from:			
Federal revenues:			
Total federal revenues			1,335,500
Total other state restricted revenues			44,200
State general fund/general purpose		**$**	**2,122,100**
Sec. 106. OFFICE OF HIGHER EDUCATION			
Full-time equated classified positions	51.0		
Student financial assistance programs--FTEs	51.0		9,936,500
GROSS APPROPRIATION		**$**	**9,936,500**
Appropriated from:			
Special revenue funds:			
Michigan merit award trust fund			1,286,800
State general fund/general purpose		**$**	**8,649,700**
Sec. 107. ONE-TIME APPROPRIATIONS			
Child development and care public assistance		$	40,000,000
Childcare funding			1,000,000
Michigan college success			2,000,000
Reenrollment services			2,000,000
GROSS APPROPRIATION		**$**	**45,000,000**
Appropriated from:			
State general fund/general purpose		**$**	**45,000,000**

PART 2

PROVISIONS CONCERNING APPROPRIATIONS

FOR FISCAL YEAR 2025-2026

GENERAL SECTIONS

Sec. 201. In accordance with section 30 of article IX of the state constitution of 1963, for the fiscal year ending September 30, 2027, total state spending under part 1 from state sources is $238,349,000.00 and total state spending under part 1 from state sources to be paid to local units of government is $0.

Sec. 202. The appropriations under this part and part 1 are subject to the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594.

Sec. 203. As used in this part and part 1:

(a) "Department" means the department of lifelong education, advancement, and potential.

(b) "DHHS" means the Michigan department of health and human services.

(c) "Director" means the director of the department.

(d) "FTE" means full-time equated position in the classified service of this state.

(e) "IDG" means interdepartmental grant.

(f) "Standard report recipients" means the senate and house appropriations subcommittee on the department, the senate and house fiscal agencies, the senate and house policy offices, and the state budget office.

Sec. 204. A department or agency shall use the internet to fulfill the reporting requirements of this part and shall make each report readily accessible to the public and conspicuously post each required report in a single archivable location on the department's or agency's Michigan.gov website not later than the due date required for each report. In addition to placing all reports required in the current fiscal year on the department's or agency's website, the department or agency shall maintain on its website all reports placed on the website from previous fiscal years posted by fiscal year in the same single archivable location. The department or agency shall also transmit all required reports for the current fiscal year to the standard recipients and any other required recipients by email.

Sec. 205. To the extent permissible under section 261 of the management and budget act, 1984 PA 431, MCL 18.1261, all of the following apply to the expenditure of funds appropriated in part 1:

(a) The funds must not be used for the purchase of foreign goods or services, or both, if competitively priced and of comparable quality American goods or services, or both, are available.

(b) Preference must be given to goods or services, or both, manufactured or provided by Michigan businesses, if they are competitively priced and of comparable quality.

(c) Preference must be given to goods or services, or both, that are manufactured or provided by Michigan businesses owned and operated by veterans, if they are competitively priced and of comparable quality.

Sec. 206. The department shall not take disciplinary action against an employee of the department for communicating with a member of the legislature or legislative staff, unless the communication is prohibited by law and the department is exercising its authority as provided by law.

Sec. 207. Consistent with section 217 of the management and budget act, 1984 PA 431, MCL 18.1217, each department and agency receiving appropriations in part 1 shall prepare a report on out-of-state travel expenses not later than January 1. The report must list all travel by classified and unclassified employees outside this state in the previous fiscal year that was funded in whole or in part with funds appropriated in the department's or agency's budget. The department or agency shall submit the report to the standard report recipients and to the house and senate appropriations committees. The report must include all of the following information:

(a) The dates of each travel occurrence.

(b) The total transportation and related expenses of each travel occurrence and the proportions funded with state general fund/general purpose revenues, state restricted revenues, federal revenues, and other revenues.

Sec. 209. Not later than December 15, the state budget office shall prepare and submit a report that provides for estimates of the total general fund/general purpose appropriation lapses at the close of the previous fiscal year. The report must summarize the projected year-end general fund/general purpose appropriation lapses by major departmental program or program areas. The state budget office shall submit the report to the standard report recipients and the chairpersons of the senate and house appropriations committees.

Sec. 210. (1) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $10,000,000.00 for federal contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(2) In addition to the funds appropriated in part 1, there is

appropriated an amount not to exceed $500,000.00 for state restricted contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(3) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $350,000.00 for local contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

(4) In addition to the funds appropriated in part 1, there is appropriated an amount not to exceed $2,000,000.00 for private contingency authorization. Amounts appropriated under this subsection are not available for expenditure until they have been transferred to another line item in part 1 under section 393(2) of the management and budget act, 1984 PA 431, MCL 18.1393.

Sec. 211. A department or agency shall cooperate with the department of technology, management, and budget to maintain a searchable website accessible by the public at no cost that includes, but is not limited to, all of the following for each department or agency:

(a) Fiscal year-to-date expenditures by category.

(b) Fiscal year-to-date expenditures by appropriation unit.

(c) Fiscal year-to-date payments to a selected vendor, including the vendor name, payment date, payment amount, and payment description.

Sec. 212. Not later than 14 days after the release of the executive budget recommendation, the department shall cooperate with the state budget office to provide an annual report on estimated state restricted fund balances, state restricted fund projected revenues, and state restricted fund expenditures for the previous 2 fiscal years. The report must be submitted to the standard report recipients and to the chairpersons of the senate and house appropriations committees.

Sec. 214. (1) Funds appropriated in part 1 must not be used to restrict or impede a marginalized community's access to government resources, programs, or facilities.

(2) From the funds appropriated in part 1, local governments shall report any action or policy that attempts to restrict or interfere with the duties of the local health officer.

Sec. 215. To the extent permissible under the management and budget act, 1984 PA 431, MCL 18.1101 to 18.1594, the director of each department or agency receiving appropriations in part 1 shall take all reasonable steps to ensure geographically disadvantaged business enterprises compete for and perform contracts to provide services or supplies, or both. Each director shall strongly encourage firms with which the department or agency contracts to subcontract with certified geographically disadvantaged business enterprises for services, supplies, or both.

Sec. 216. On a quarterly basis, a department or agency receiving appropriations in part 1 shall report on the number of FTEs in pay status by type of staff and civil service classification, including a comparison by line item of the number of FTEs authorized from funds appropriated in part 1 to the actual number of FTEs employed by the department or agency at the end of the reporting period. The report must be submitted to the senate and house appropriations committees and to the standard report recipients.

Sec. 217. If the state administrative board, acting under section 3 of 1921 PA 2, MCL 17.3, transfers funds from an amount appropriated under part 1, the legislature may, by a concurrent resolution adopted by a majority of the members elected to and serving in each house, intertransfer funds within part 1 for the particular department, board, commission, officer, or institution.

Sec. 218. Not later than 6 months after the state budget office issues work project letters, a department, an agency, and the legislature shall submit an annual report that summarizes all work project accounts. The report must include all of the following:

(a) A list of all work project accounts.

(b) The status of all work project accounts including amounts expended, amounts encumbered, and available balances for each account.

(c) The amount of funds that lapsed from any previously designated work project accounts, the name and description of the work project account, and the funds that received the lapsed amounts.

Sec. 219. The department shall receive and retain copies of all reports funded from appropriations in part 1. The department shall follow federal and state law and guidelines for short-term and long-term retention of records. The department may electronically retain copies of reports unless otherwise required by federal and state guidelines.

Sec. 220. Not later than April 1, the department shall report on each specific policy change made to implement a public act affecting the department that took effect during the previous calendar year. The report must include reference to the public act that necessitates the policy change. The department shall submit the report to the standard report recipients, to the senate and house appropriations committees, and to the joint committee on administrative rules.

Sec. 222. To the extent possible, the department shall not expend appropriations under part 1 until all existing authorized work project funds available for the same purposes are exhausted.

Sec. 224. Total authorized appropriations from all sources under part 1 for legacy costs for the fiscal year ending September 30, 2027 are estimated at $4,108,800.00. From this amount, total department appropriations for pension-related legacy costs are estimated at $4,108,800.00. Total department appropriations for retiree health care legacy costs are estimated at $0.

Sec. 226. (1) The department shall maximize utilization of its in-person state workforce. The department shall prioritize occupancy utilization of office space for each division within the department. Employees with job responsibilities that require the employees to serve in their capacities outside of an office shall be monitored each pay period to ensure all work hours reported on timesheets were actually worked.

(2) The department shall comply with requirements set forth by the office of the state employer on in-person work and utilization and occupancy rates of state buildings to ensure in-person work is optimized and occupancy rates are 80 percent or higher, subject to market conditions.

(3) The department shall adhere to civil service rules and regulations that state the standard biweekly work period for a full-time employee in the classified service of this state is the

equivalent of 80 hours of work. The department shall establish policies and processes to ensure all employees are working their jobs during agreed-upon business hours.

Sec. 227. A department or agency that receives an appropriation under this part or part 1 must provide an annual report to the standard report recipients detailing federal policy changes that do, or are expected to do, any of the following:

(a) Affect the operations of the department, including reductions in federal revenue. For federal revenue reductions, the annual report must detail the impact on the department or agency and residents of this state, including, but not limited to, all of the following information:

(*i*) The amount of additional state revenue required to replace the lost federal revenue.

(*ii*) The services the department or agency will have to reduce or eliminate due to the lost revenue.

(*iii*) The anticipated fiscal impact on residents of this state.

(b) Affect an industry, community, population, or other group regulated or served by, or that otherwise engages with, the department or agency.

(c) Create a regulatory gap that could negatively impact the public.

(d) Increase the department's or agency's costs.

(e) Reduce or eliminate a program that provides services to residents of this state.

Sec. 230. Not later than April 1, the department shall provide to the standard report recipients a copy of its annual strategic plan prepared in compliance with section 363 of the management and budget act, 1984 PA 431, MCL 18.1363. The plan must include the mission, vision, goals, strategies, and performance measures of the department.

Sec. 231. The department shall report on any court settlement that may require further legislative review of state statutory programs or regulations.

Sec. 232. Not later than November 15, the department shall disclose on a publicly accessible website private and other third-party funds received by the department in the previous fiscal year. The report must include the amount and source of funding received, the purpose for which funding was expended, and the amount of any remaining funds. The report must be submitted to the standard report recipients and to the chairpersons of the senate and house appropriations committees.

Sec. 233. (1) Within 30 days after enactment of this act, the house and senate shall provide to the state budget office a jointly agreed upon list of legislatively directed spending items funded in part 1. This list must include all information and documents pertaining to the funded items as publicly disclosed in accordance with sections 364 and 364a of the management and budget act, 1984 PA 431, MCL 18.1364 and 18.1364a. As used in this subsection, "legislatively directed spending items" means that term as defined in section 364 of the management and budget act, 1984 PA 431, MCL 18.1364.

(2) In accordance with section 364(4) of the management and budget act, 1984 PA 431, MCL 18.1364, the department or agency administering the grant shall post a report in a publicly accessible location on its website beginning March 15 of the current fiscal year. The department or agency shall update the report and shall post an updated report not later than June 15 of

the current fiscal year and again not later than September 15 of the current fiscal year. The department shall include in the report the most comprehensive information the department has available at the time of posting for grants awarded.

Sec. 234. The state budget director shall take steps to ensure that all state fiscal recovery funds allocated to this state under the American rescue plan act of 2021, Public Law 117-2, are expended by December 31, 2026, as required by law. Any state fiscal recovery funds that would otherwise lapse after September 30, 2026 are automatically reappropriated for the same purpose as originally authorized and available for expenditure through December 31, 2026 and any subsequent financial close out period.

Sec. 235. (1) The state budget director shall take steps to ensure that all state fiscal recovery funds allocated to this state under the American rescue plan act of 2021, Public Law 117-2, are expended by December 31, 2026, as required by law. The state budget director may reallocate appropriated funds for the purpose of fully utilizing state fiscal recovery funds that are in jeopardy of not meeting the expenditure deadline for reasons that may include, but are not limited to, completed projects coming in under budget or funds unable to be fully used by subrecipients. The state budget director shall reallocate any of the funds reallocated under this subsection to the programs or purposes specified in this section. Any funds reallocated are unappropriated and immediately reappropriated for the following purpose:

(a) To reclassify general fund/general purpose appropriations for payroll and covered benefits for eligible public health and safety employees at the department of corrections.

(b) To reclassify general fund/general purpose appropriations for payroll and covered benefits for eligible public health and safety employees at the department of state police.

(2) All applicable guidance, implementation, and reporting provisions of Public Law 117-2 must be followed for state fiscal recovery funds reallocated and reappropriated under subsection (1).

(3) The state budget director shall notify the senate and house appropriations committees not later than 10 business days after making any reallocations under subsection (1). The notification must include the authorized program under which funds were originally appropriated, the amount of the reallocation, the program, or programs, or purpose, and the department to which the funds are being reallocated under subsection (1), and the amount reallocated to each program or purpose.

OFFICE OF EDUCATION PARTNERSHIPS

Sec. 401. From the funds appropriated in part 1 for family and community engagement, the department shall, at a minimum, do all of the following:

(a) Establish or partner with family engagement centers across this state to increase parent and guardian involvement in their child's education.

(b) Ensure translation and interpretation services are available and implemented pursuant to department guidance.

(c) Partner with intermediate school districts to assist in getting information and resources to their constituent districts.

(d) Develop an early literacy engagement plan to help parents or guardians become involved in their child's education.

OFFICE OF HIGHER EDUCATION

Sec. 701. (1) From the funds appropriated in part 1, in addition to other statutorily required duties, the department shall do all of the following:

(a) Review and evaluate all state financial aid programs. The department shall prioritize improving postsecondary educational outcomes, including student completion rates, and improving affordability of postsecondary programs in this state.

(b) Serve as the coordinating office for all agencies of the executive branch of government that are responsible for financial aid programs administered by this state.

(c) Survey stakeholders, including public, tribal, and private not-for-profit colleges and universities, state departments and agencies, and statewide postsecondary education associations on student financial aid policy to improve this state's administration of programs.

(d) Collaborate with the center for educational performance and information and individual colleges and universities to ensure streamlined and coordinated collection of data analyzing the following:

(*i*) Postsecondary education costs, including a comparison to national and regional averages.

(*ii*) Student enrollment.

(*iii*) Degree completion.

(e) Provide access to higher education institutional data inventory on an accessible, public facing dashboard to assist students, prospective students, and their families in making decisions on postsecondary education.

(f) Coordinate with other state agencies and school districts to increase utilization and awareness of postsecondary opportunities, including, but not limited to, early and middle college, dual enrollment, and private skills training scholarships.

(g) Promote, track, and provide resources to increase completion of the free application for federal student aid.

(2) From the funds appropriated in part 1, the department shall meet, at a minimum, the following transparency requirements:

(a) Collect data necessary to complete all statutory reporting requirements. The department shall notify the chairs of the house and senate appropriations committees within 10 days if an entity receiving funds from part 1 fails to comply with data collection requirements.

(b) Maintain a link on the department's website to find data submitted by postsecondary institutions through higher education institutional data inventory.

(c) Maintain a link on the department's website to the center for educational performance and information's MI School Data page on postsecondary enrollment and completion tracking.

(3) As used in this section, "center for educational performance and information" means the center for educational performance and information created in section 94a of the state school aid act of 1979, 1979 PA 94, MCL 388.1694a.

OFFICE OF EARLY CHILDHOOD EDUCATION

Sec. 1002. (1) From the funds appropriated in part 1, the department shall ensure that the final child development and care provider reimbursement rates are published on the department and Great Start to Quality webpages.

(2) In addition to the funds appropriated in part 1, upon receiving approval from the state budget director, the department

may receive and expend federal child care development block grant funds that are at risk of lapsing back to the federal government. The department may do this only if all of the following criteria are met:

(a) The funds are at risk of lapsing back to the federal government by the end of the current fiscal year.

(b) The department plans to expend the funds through a 1-time rate increase to providers.

(c) The department makes the request to receive and expend the grant funds to the state budget director not less than 30 days before the expenditure of the funds.

(3) If the average cases over a 3-month period in the child development and care program result in the current projected fiscal year caseloads falling below the caseload agreement from the May consensus revenue estimating conference, the department may increase the hourly reimbursement rate to child care providers if the following conditions are met:

(a) The level of expenditures for the remainder of the year is estimated to be significantly below the level estimated from the May consensus revenue estimating conference.

(b) The department plans to expend the funds through an ongoing rate increase to providers for the remainder of the fiscal year.

(c) The department makes this request to the state budget director not less than 30 days before the expenditure of the funds that includes the rate increase.

(4) Upon receiving approval from the state budget director under subsection (2) or (3), the department must notify the senate and house fiscal agencies of the amount being appropriated, the

estimated rate increase to providers, and if the rate increase to providers is 1-time or ongoing in nature.

(5) The department may withdraw the intent to expend the funds under subsection (2) or (3) by notifying the state budget director in writing.

Sec. 1003. (1) From the funds appropriated in part 1 for child development and care contracted services, the department shall create a report on all funding appropriated to contracts for the early childhood comprehensive systems planning by this state during the previous fiscal year. The report required under this section is due by April 1 and must contain at least all of the following information:

(a) Total funding appropriated to contracts for the early childhood comprehensive systems planning by this state during the previous fiscal year.

(b) The amount of funding for each grant awarded.

(c) The grant recipients.

(d) The activities funded by each grant.

(e) An analysis of each grant recipient's success in addressing the development of a comprehensive system of early childhood services and supports.

(2) All department contracts for early childhood comprehensive systems planning must be bid out through a statewide request-for-proposal process.

Sec. 1007. (1) From the funds appropriated in part 1 for child development and care – external support, child development and care contracted services, and child care licensing and regulation, the department shall create a joint report that includes, but is not limited to, the following:

(a) The affordability of child care in this state, including, but not limited to, the number of children eligible for and participating in the child development and care program, the number of children eligible for and participating in the child development and care program for the last 5 years, and key takeaways from the most recent market rate survey.

(b) The availability of child care in this state by county, including, but not limited to, the number of licensed child care providers, the change in the number of licensed child care providers and slots over time, and the estimated demand for care.

(c) The health and safety of child care, including, but not limited to, the 10 most common rule violations, the number of licenses revoked and summarily suspended, and the number of license violations for incomplete health and safety training and safe sleep training.

(d) Any actions taken to strengthen health and safety of care, including, but not limited to, the number of licensing consultants, their average caseload, the number of on-site visits they complete by provider type and region, the types of activities that are intended to improve health and safety in licensed care, and the number of times those activities are performed by licensing consultants.

(e) Information on the child care licensing process, including, but not limited to, all of the following:

(*i*) The number of initial applications, initial applications denied, license renewals, and licenses allowed to expire, aggregated by license type.

(*ii*) The average amount of time to approve or deny completed applications and a description of the most common reasons applications are denied.

(*iii*) A description of the types of complaints received, a description of the process used to resolve complaints, the average amount of time to complete investigations, and the percentage of investigations completed on time.

(*iv*) The number of complaints received, investigated, determined to be unsubstantiated, and that result in disciplinary action or rule violations.

(*v*) The number of administrative hearing adjudications.

(f) The quality of child care, including, but not limited to, the number of licensed providers participating in the Great Start to Quality program and the workforce registry, the number of new participants and how participation has changed over the last 5 years, and the number of children participating in the child development and care program enrolled in an enhancing quality level or higher program.

(g) Any actions taken to improve child care quality, including, but not limited to, the number of quality consultants, the average caseload, the number of on-site visits completed by region, the types of activities that are intended to improve quality and the number of times those activities are performed, and the number of providers that have improved the provider's quality rating since the start of the current fiscal year compared to the same time period in the preceding fiscal year, reported as the number of providers in each region.

(h) The child care workforce, including, but not limited to, the number of child care professionals, average wages by role, the number of individuals participating in the TEACH scholarship and earning a credential, and the level of demand for staff.

(2) The department must post the joint report on the department website and send the joint report to the state budget director, the house and senate subcommittees that oversee the department budget, and the house and senate fiscal agencies by April 1 of the current fiscal year reflecting data for the previous fiscal year.

Sec. 1008. From the funds appropriated in part 1 for office of early childhood education, the department shall ensure efficient service provision to coordinate services provided to families for home visits, reduce duplication of state services and spending, increase efficiencies including, if a new section 32p is added to the state school aid act of 1979, 1979 PA 94, for the fiscal year ending September 30, 2027, the home visits funded under that section, and work with the DHHS as necessary.

Sec. 1009. From the funds appropriated in part 1 for child development and care public assistance, the income entrance eligibility threshold for the child development and care program is set to not more than 200% of the federal poverty guidelines.

Sec. 1011. From the funds appropriated in part 1 for child development and care public assistance, for eligible children in the child development and care program, the department shall implement payments to providers based on enrollment rather than based on attendance. This shall be done in a manner determined by the department.

Sec. 1012. From the funds appropriated in part 1 for child development and care contracted services, $1,500,000.00 must be for the department to work in collaboration with DHHS to continue the network of infant and early childhood mental health consultation, which provides mental health consultation to child care providers.

Sec. 1025. (1) Private revenues received by the department are appropriated upon receipt and are available for expenditure by the department as permitted under state and federal law.

(2) Not later than 10 days after the receipt of a private revenues appropriated in subsection (1), the department shall notify the standard report recipients of the receipt of the funds, including source, purpose, and amount.

(3) The amount appropriated under subsection (1) must not exceed $3,000,000.00.

Sec. 1030. (1) The funds appropriated in part 1 for the tri-share child care program must be awarded for the continuation of the child care facilitator program originally initiated and funded as a pilot project in section 1047(31) of article 5 of 2020 PA 166.

(2) The department shall establish and support tri-share regional facilitator hubs and statewide services.

(3) The department must create benchmarks for regional facilitator hubs receiving appropriated funding.

(4) Any child care facilitator receiving funds under this section must be a nonprofit, limited liability company, C-corporation, S-corporation, or a sole proprietor.

(5) Child care facilitator hubs may use funds to enroll in the tri-share child care program families living in Wisconsin but who have a parent or caregiver who are employed in Michigan. A child care provider providing care for a family described in this subsection must be licensed in Michigan.

(6) The department shall award funds to ensure employer recruitment by regional facilitator hubs and statewide program administration. In addition, the department may provide quarterly advances for timely provider payments. Upon conclusion of the

program or upon termination of any grant agreement, any unspent award funds held by any program partner shall either be spent down toward the state's share of child care payments or returned to the state at the discretion of the department.

(7) The department shall innovate program and administration options to attract Michigan employer program participation.

ONE-TIME APPROPRIATIONS

Sec. 1101. From the funds appropriated in part 1 for reenrollment services, the department shall deliver reenrollment services for Michigan residents with some college and no degree for the purpose of reengaging learners to increase the number of Michigan adults completing postsecondary degrees or credentials in this state. If necessary, the department may contract with private organizations with prior reenrollment work for an amount up to $2,000,000.00 to accomplish the purpose of this section.

Sec. 1102. From the funds appropriated in part 1, the Michigan Center for Adult College Success must continue to improve adult postsecondary enrollment and completion under the Michigan reconnect grant act, 2020 PA 84, MCL 390.1701 to 390.1709.

Sec. 1103. (1) The child care payment fund is created as a restricted fund in the department of treasury to be used solely for the administration of the child care payment program.

(2) The state treasurer may receive money or other assets from any source for deposit into the child care payment fund, including, but not limited to, federal funds, gifts, bequests, and private donations.

(3) Money deposited into the child care payment fund must be available for distribution by not later than January 1 of the

calendar year following the distribution. The fund must not be used to meet state match requirements for federal aid or block grants.

(4) Money available in the child care payment fund at the close of the fiscal year remains in the fund and does not lapse.

(5) Money available in the fund must not be expended without a specific appropriation. For the FY 2026-2027 fiscal year there is appropriated $1,000,000.00 general fund/general purpose dollars.

(6) The department shall administer the fund for auditing purposes and expend money from the fund for the purpose of administering this section.

(7) The department shall distribute money in the fund to qualified providers based on the number of children under the qualified providers' care. Providers of children who are less than 36 months of age shall receive double the amount of money distributed under the fund. The department shall evaluate the number of children served under this program on October 1 of each year.